

Multiple Choice (10 marks)

1. What economic factors influence the choice of the best combination of inputs by a firm?
 - (a) Brand reputation and advertising
 - (b) Demand and supply
 - (c) Technological innovation and research and development
 - (d) Production function and prices of inputs
 - (e) Company's ethical policies and social responsibility initiatives
2. Stagflation most likely results from
 - (a) decreasing AD with constant SRAS.
 - (b) a decrease in AD with increasing SRAS.
 - (c) decreasing SRAS with constant AD.
 - (d) increasing both AD and SRAS.
 - (e) a decrease in AD and an increase in SRAS.
3. Suppose that the total value of all transactions in the United States is 100,000 and the money supply is 10,000. Calculate the velocity of money.
 - (a) 20
 - (b) 5
 - (c) 30
 - (d) 15
 - (e) 12
4. An increase in corporate optimism will have which of the following effects in the market for loanable funds?
 - (a) A decrease in both supply and demand and an ambiguous change in interest rates.
 - (b) An increase in supply lowering the interest rate.
 - (c) A decrease in demand increasing the interest rate.
 - (d) An increase in demand increasing the interest rate.
 - (e) A decrease in supply increasing the interest rate.
5. If firms that make a particular product expect its price will be lower in the future
 - (a) this will cause the supply of the product to decrease right now.

- (b) this will have no effect on the amount of the product supplied right now.
- (c) this will have no effect on the supply of the product now or later.
- (d) this will cause the supply of the product to increase right now.
- (e) this will cause the supply of the product to decrease in the future.

True / False (10 marks)

Answer True or False

- 6. True or False: When both the demand and supply curves are price inelastic, consumers bear the largest burden of an excise tax placed on producers.
- 7. True or False: Inflation is always beneficial for long-term economic growth and stability.
- 8. True or False: Unions can directly control employment rates on a national level through collective bargaining efforts.
- 9. True or False: A white noise process will have a non-zero mean and varying autocovariances across different lags.
- 10. True or False: A price floor in the coffee market typically results in a persistent surplus of coffee due to higher prices.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss how a nearly perfectly elastic demand for money can limit a central bank's ability to implement expansionary monetary policy, providing examples to support your analysis.
- 12. Discuss the potential dangers of using economic models, focusing on issues such as over-simplification and over-reliance, and their impact on interpreting and predicting economic behavior.

End of Paper